COURSE

Cambridge IGCSE Business (0450 / 0264)

Product portfolio

3 Marketing · 3.3 Marketing mix: product

Revision for 3 Marketing: each firm works it out on its own deals.

Class **Cambridge IGCSE Business (0450 / 0264)** Topic **Product portfolio**

THE LESSON

Setup 2 min

Round 1 Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	Deals	TASK 1 New model cash flow	TASK 2 Extension strategy

Round 2 Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	Deals	TASK 3 Life cycle in order	TASK 4 Sales growth %	B2B deal

Round 3 Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	Deals	TASK 5 Extend or withdraw	TASK 6 Stage and profit	B2B deal

Final questions 3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments	Buy property or funds. The value can rise or fall.
Operations	**Buying**	Hire the Procurement Specialist or the Stock Controller for the round.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

You have just launched a new model. You advertise it heavily, and few have sold.

What is its cash flow most likely to be?

PICK ONE

- ✔ **Negative: costs exceed sales**
- ○ Positive: no advertising needed
- ○ Positive: sales are at a peak
- ○ Zero: nothing has sold

Why: At launch, spending on stock and adverts is high and sales are low.

Task 2

ROUND 1

Sales of an old model fall each month.

Which two are extension strategies?

PICK TWO

- ✔ **Add new features or colours**
- ○ Raise its price sharply
- ✔ **Sell it to a new group of buyers**
- ○ Stop advertising it
- ○ Withdraw it at once

Why: Changing the product or finding new buyers keeps its sales going.

Task 3

ROUND 2

Four moments in the life of one model.

Put them in life-cycle order, first to last?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Few buyers know it; heavy adverts**
2. **Sales rise fast; rivals copy it**
3. **Sales high but flat; many rivals**
4. **Sales fall; buyers want newer models**

Why: Introduction, growth, maturity, decline.

Task 4

ROUND 2

Sales of your newest model.

Growth from year 2 to year 3, as a %?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Sold in year 1	**50 cars**
Sold in year 2	**190 cars**
Sold in year 3	**285 cars**

METHOD

Growth % = (year 3 – year 2) ÷ year 2 × 100

(285 – 190) ÷ 190 × 100 = 50%

Why: Sales still rising fast: the model is in its growth stage.

Task 5

ROUND 3

Your best-seller's sales are falling, but buyers still like its looks.

What should you do, and why?

PICK A OR B AND GIVE A REASON

- ✔ **Extend it: new colours and kit**
- ○ Withdraw it now

Why: Buyers still like it, so a refresh can extend its life.

Task 6

ROUND 3

Your best-selling model's sales are high but no longer rising. Rivals sell similar models.

Which stage is it at, and what is profit like?

PICK ONE

- ○ Decline: profit near its peak
- ○ Growth: losses as costs are high
- ○ Introduction: profit near its peak
- ✔ **Maturity: profit near its peak**

Why: High, flat sales with many rivals is maturity, when profit is usually highest.

Final questions

6	159	7
questions for each pupil	Level 2 Business questions	of them on product portfolio

The game draws 6 questions on this topic.

1 A dealership lets customers reserve a test drive through its website. Which element of the marketing mix is most directly changed?
Place: the service can now be reached online.

2 A completely new vehicle-care service has just launched and few customers know it exists. Which product life-cycle stage is this?
Introduction.

3 An established service package is losing sales. Which action is a product extension strategy?
Add mobile collection and relaunch it.

4 A dealer promises premium service but has poorly trained staff and unreliable booking. What is the main marketing problem?
The mix does not match the premium position.

5 Promotion promises same-day booking, but the website shows no slots and a different price. What should the dealer fix first?
Make availability, price and the promise consistent.

6 The Sales lead sets a premium price but promotion promises “the cheapest basic option” and service is minimal. What is wrong?
Price, promotion and service clash.

7 A van model has been on sale six years. Sales have fallen three years running and a replacement is announced. Which life cycle stage is this?
Decline.